

SNOWFLAKE INC SNOW

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by

Wells

2025 2026

Price:	147.56	EPS	0	0
Shares Out. (in M):	371	P/E	0	0
Market Cap (in \$M):	51,661	P/FCF	0	0
Net Debt (in \$M):	-2,602	EBIT	0	0
TEV (in \$M):	49,059	TEV/EBIT	0	0

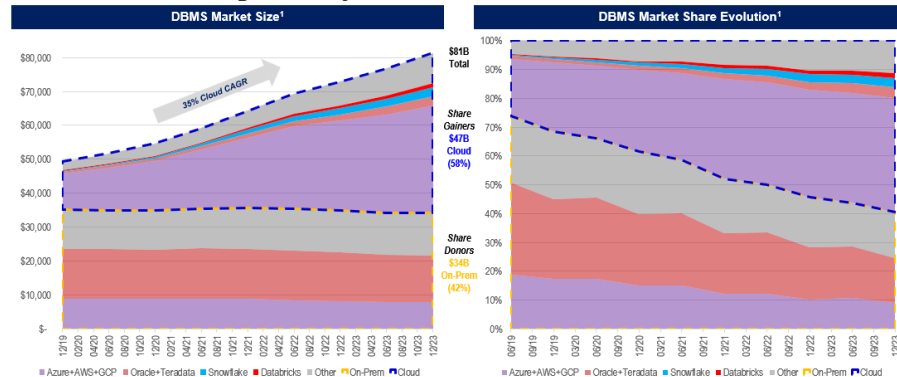
Description

Snowflake Inc. Fair warning that this growth-biased idea will certainly not be everyone's cup of tea... after watching Snowflake closely from their history in early venture rounds to the bubbly rise in SNOW to stratospheric levels breaking through \$400 back in 2021, I now believe Snowflake at \$148 presents an attractive entry point against their long-term prospects. Will allow readers to reference sell-side coverage or Snowflake disclosure for more of a book report education of the company, whereas this framing will focus on return drivers I) growth durability in their core product despite increasing competitive intensity, II) the upside opportunity in emerging "AI" products, and III) valuation framing around 20%+ IRR. Critical risks include management turnover at the top (outgoing CFO, new CRO), increasing competitive intensity in the core data warehouse product relative to the early years of category creation, uncertainty about which (if any) of the new products will actually be hits, and now more than ever for Snowflake, potential economic disruptions meaningfully constraining software budget growth. Will touch on some of the key risks / debates on the stock along the way, and can dig into more discussion via messages if of interest. The essence of the set-up is a vote of confidence in the new CEO, conviction in durable tailwinds and strong competitive position to maintain share in their core data warehouse market, and patience to see if new products unlock an upside scenario of reaccelerating growth.

First off, how did we get here? The last year has seen exacerbated market reactions to idiosyncratic factors (with both upwards and downwards shocks to the stock), and more recently non-fundamental volatility that has more to do with market-wide sentiment in the near-term than how to think about durable value over a meaningful time horizon. SNOW collapsed from \$230 down to \$160 only days after renowned enterprise CEO Frank Sloatman announced his retirement and the promotion of SVP of AI Sridhar Ramaswamy to CEO, having initially been acquired into Snowflake via acquisition of Neeva (LLM-powered search engine that ultimately failed to gain meaningful user traction) in May 2023. Ramaswamy brought serious technical chops (PhD from Brown in databases, technical experience at Bell Labs in the 1990s, decade and a half at Google from IC eng in 2003 to SVP Eng in 2011) and management at scale (ran \$100B+ business as SVP Ads & Commerce at Google in 2013), but was ultimately an unknown quantity and nearly the polar opposite of the aggressive software statesman reputation of Sloatman. The market didn't love that. Despite management historically aiming to "manage this business such that a 3% to 5% beat is a big, a good beat", the original 2024E guide to \$3,250M in product revenue for 22% growth versus 30% actual result certainly felt like beating the stock down for a new CEO... plus CFO Mike Scarpelli explicitly calling out an extra dose of "conservatism" in guidance to "to set the company up to be successful throughout the year as we progress with Sridhar coming on board". In the meantime, the stock eventually bottomed at \$107 in September 2024 before smashing 2024 Q3 earnings propelled SNOW into the \$170s, eventually crossing \$190 in February 2025 via post-election market highs. The last few weeks have been volatile, including a +12.5 point gain at open after 2024 Q4 earnings (healthy 3.8% beat, product growth holding up at 28%, net retention stabilizing at 126%) that was quickly erased in the latest cycle of macro volatility. SNOW at \$148 and \$49B EV now represents 10.9x NTM revenue (0.46x Growth-Adjusted) and 44.6x NTM FCF (1.88x G-Adj.) against consensus 2025E revenue estimates of \$4.5B for 23.7% growth at 24.5% FCF margin. On the face of it, it's not obvious that anything 10x+ NTM revenue would be an attractive entry point for software generically without keeping a high bar on growth durability, so will at least attempt to make the case here.

I. Dominant Position in One of the Biggest Enterprise Infrastructure Markets Around: The core market for "Database Management Systems" in IDC lingo is \$80B+ in 2023, with \$34B on-prem portion essentially a melting ice cube versus the \$47B cloud portion growing at a 35% CAGR since 2019 and expected to grow 20%+ annually beyond \$100B in 2027 based on the obvious tailwinds around continued migration to cloud (estimates vary, but still only 40-50% workload penetrated according to enterprise budget surveys) and increasing data generation with digital penetration in the economy broadly. Within that \$100B, core Snowflake addresses roughly \$50B in structured analytic data while emerging product Snowpark addresses \$25B in unstructured data ... suffice to say, plenty of room to run even if their attempt in transactional data marketed as Unistore (but not a word about it recently) for the remaining \$25B doesn't go anywhere.

Core Database Management System Market



Beyond the original Snowflake innovation around independently scaling data storage and processing compute that competing offerings can now roughly approximate, extensive customer interviews and channel checks confirm that the primary reasons Snowflake wins in the enterprise come down to 1) ease-of-use to seamlessly spin up a data warehouse without extensive engineering labor, 2) battle-tested enterprise governance and security, 3) ultimately cheaper TCO when considering the full burden of costs to directly manage the infra for

optimal performance, and 4) increasingly a data network effect unlocked being able to share data with other parties directly in Snowflake (only marginally compelling and targeted to a very specific profile of enterprise customer heavy on sharing data externally).

Within Cloud DBMS (including structured “data warehouse” and unstructured “data lake”), the cloud computing platforms maintain the biggest market shares from attach rates on their data warehouse products in which BigQuery by GCP rates the closest to Snowflake technically, but still falls behind the bundling scale of various SQL offerings on Microsoft Azure and Redshift by AWS (both share donors, see data in market share table below). The most recent MS CIO survey shares corroborating responses that cloud data warehousing services are directionally losing mindshare among expectations for future deployments, with 36% of CIOs expecting to rely on Snowflakes or Databricks a year out, up from 27% in 2023.

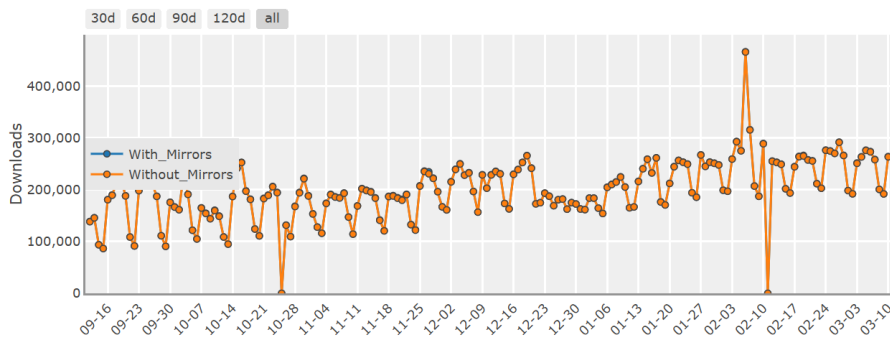
Historical Cloud DBMS Market Share by Vendor (admittedly outdated, haven't received 2024 yet)

Share Vendor	Revenue					Market Share					Win Share of Net New				
	2018	2019	2020	2021	2022	2018	2019	2020	2021	2022	2018	2019	2020	2021	2022
Microsoft	\$ 4,370	\$ 6,514	\$ 9,034	\$ 12,628	\$ 15,532	\$ 18,385	46.5%	45.9%	45.5%	43.9%	40.8%	39.0%	44.7%	44.5%	40.2%
AWS	\$ 2,438	\$ 3,622	\$ 4,748	\$ 6,880	\$ 8,932	\$ 10,458	26.0%	25.5%	23.9%	23.9%	22.2%	22.2%	24.7%	19.9%	24.0%
Google	\$ 384	\$ 636	\$ 873	\$ 1,332	\$ 2,027	\$ 2,774	4.1%	4.5%	4.4%	4.6%	5.2%	5.9%	5.2%	4.2%	5.1%
Snowflake	\$ 168	\$ 236	\$ 502	\$ 1,030	\$ 1,873	\$ 2,848	1.1%	1.7%	2.6%	3.8%	4.9%	5.5%	2.6%	5.1%	6.2%
Oracle	\$ 650	\$ 470	\$ 647	\$ 1,023	\$ 1,407	\$ 2,262	5.3%	2.3%	2.2%	2.8%	2.3%	4.8%	(2.6%)	2.0%	4.3%
Alibaba	\$ 234	\$ 491	\$ 837	\$ 1,172	\$ 1,454	\$ 1,559	2.5%	3.5%	4.2%	4.1%	3.8%	3.4%	5.4%	6.1%	3.8%
Databricks	\$ 35	\$ 100	\$ 280	\$ 519	\$ 892	\$ 1,215	0.4%	1.1%	1.4%	1.8%	2.3%	2.6%	2.5%	2.3%	4.0%
MongoDB	\$ 87	\$ 163	\$ 286	\$ 467	\$ 795	\$ 1,137	0.9%	1.2%	1.5%	1.6%	2.1%	2.4%	1.6%	2.3%	1.9%
Tencent	\$ 80	\$ 105	\$ 251	\$ 423	\$ 605	\$ 700	0.9%	1.2%	1.3%	1.5%	1.6%	1.5%	1.7%	1.7%	1.9%
Teradata	\$ -	\$ 42	\$ 105	\$ 194	\$ 340	\$ 588	0.0%	0.3%	0.5%	0.7%	0.9%	1.2%	0.9%	1.1%	1.0%
Top 10	\$ 8,243	\$ 12,494	\$ 17,603	\$ 25,733	\$ 30,916	\$ 41,679	87.8%	88.1%	88.7%	89.4%	89.2%	88.5%	88.7%	90.2%	91.0%
Others	\$ 1,151	\$ 1,590	\$ 2,246	\$ 3,052	\$ 4,122	\$ 5,427	12.2%	11.9%	11.3%	10.6%	10.8%	11.5%	11.3%	9.8%	9.0%
Total	\$ 9,393	\$ 14,184	\$ 19,849	\$ 28,785	\$ 38,038	\$ 47,106									

The market perception on Databricks versus Snowflake has gone through various phases, from the early 2020s narrative that Snowflake's dominant GTM under Frank Sloatman is an insurmountable lead, to more recent concerns that competing product Databricks SQL is just as good and will substantially constrain Snowflake's ability to continue growing the core business in the 20s. The reality supported by extensive survey data is that while Databricks SQL has scaled to \$600M ARR in December 2024 (meaningfully ahead of the 2024 ~\$100M+ ARR guide on Snowflake Snowpark which competes with Databricks), the vast majority of the enterprise buyer universe clearly distinguishes their strong suites when it comes to actual use cases for each of their dominant personas (ie, SQL users in data analytics + line of business for Snowflake versus programmers using Apache Spark in data science for Databricks). Instances of consolidations due to top-down CIO mandates to commit to one or the other appear rare thus far, and seem to be a toss-up with no clear trend emerging yet around durable win-rates one way or the other. Daily downloads for the Snowpark Python package are far from a perfect correlate for revenue, but at least offer some triangulation to look for any change in net new as a leading indicator risk flag that Snowflake's attempt at competing head on against Databricks is faltering. While the Snowflake versus Databricks competitive intensity concern is more interesting for their emerging products associated with transformers, the market narrative seems exaggerated on the core data warehousing business.

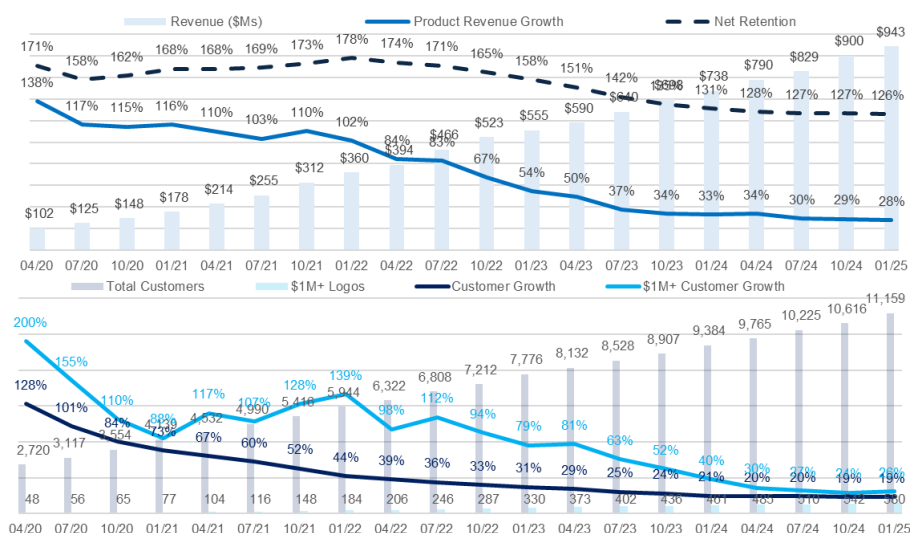
Historical Downloads of Snowpark Python Package

Daily Download Quantity of snowflake-snowpark-python package - Overall



Despite increasing chatter around competitive intensity, Snowflake has finally approached growth durability throughout the last year after product revenue collapsing from consistent 100%+ YoY quarters through 2021, down to 28% YoY in 2024 Q4 and net retention stabilizing around 126%. Over the last year, Snowflake restructured the sales org around two new incentive schemes that optimize for 1) spend via actual utilization of Snowflake by having reps work closer with customers to discover new use cases, versus focus on signing up commitments, and 2) a pocket of the GTM team carved out to focus exclusively on new logos after logo momentum started to slow down. This strategy is the right evolution for Snowflake to overcome a curse from their early success... historical net retention as high as 178% in 2021 Q4 was sufficient to achieve a rapid growth profile, and while current 126% net retention resilience is strong support for the growth profile, not refilling the cohort bucket with higher-expansion new customers earlier on in the adoption journey will eventually constrain the possible expansion dollars up for grabs. Historically, volatile macroeconomic conditions weren't drastic enough to meaningfully damage customer spending power on Snowflake, and maturing cohorts gradually reduced net retention over time as they approached full penetration and optimized their data infrastructure stacks at scale; however, now more than ever Snowflake faces potential for a shock to net retention via customers tightening the purse strings if macroeconomics conditions worsen materially... highly uncertain near-term situation that is tough to calibrate, but undeniable a downside case for SNOW and the rest of the consumption-based enterprise infrastructure universe.

Historical Growth Profile



While it's rather early in the next compute cycle to be have confidence that this new wave of "AI" via transformers will displace the analytic datastore, one long-term risk is that a new database architecture could emerge to capture incremental market growth; for instance, candidates for new architectures include vector database Pinecone, time-series database TimescaleDB, graph database TigerGraph, NewSQL database CockroachDB, GPU database HeavyDB. Amidst the on-prem to cloud migration for analytic datastores that Snowflake captured at the right time, legacy incumbents leading the on-prem generation were years late to the transition as Teradata didn't ship their cloud implementation Vantage until October 2018 and Oracle launched Autonomous Datawarehouse in March 2018. Snowflake management at least pays lip service to this source of paranoia and appear unlikely to fall into the same trap given their aggressive acquisition history to expand product surface area and, more importantly, track record shipping new products over the last year. Thankfully such an architectural shift is easy enough to spot in adoption patterns well before it translates to significant churn, and thus far, there is not sufficient evidence of this sort of transition appearing in channel checks, customer references, or developer surveys. As a reflection of the potential severity of this long-term risk, Teradata revenue peaked at \$2.7B in 2014 and has been a melting ice cube ever since, now trading at 9.0x NTM FCF on depressed 16% FCF margins and contracting growth.

As a more near-term risk to the core business, Snowflake launching first-class support of Apache Iceberg in June 2024 enabled customers to run Snowflake against data stored externally, which not only raised questions around the durability prospects of ~11% of revenue earned on customers storing data directly in Snowflake, but more importantly created a potential off-ramp for new query volume that customers could aim at a competing product when not already loaded into Snowflake. Since then, management asserts that "we're really now seeing Iceberg as more of a tailwind than a headwind as we, it's opening up so much more data for us", supporting the revenue upside story that Iceberg on net unlocks more query revenue at a higher margin than any lost lower margin storage revenue. In other near-term developments, CFO Mike Scarpelli announced his upcoming retirement upon finding a successor, while CRO Chris Degnan retired to be replaced by Mike Gannon, who previously ran GTM for multi-\$B VMware line of business in Americas region. These departures should not be surprising and allow Ramaswamy to uplevel the executive team for leadership experienced in operating at this scale. While it's possible that Degnan is less enthused about Snowflake's position in the market before, it's far more likely to be a lifestyle choice... Scarpelli remarked back in September 2024 that under Ramaswamy, "I was joking with Chris Degnan today, too, and we're both like, I haven't worked this hard in 10 years." Regardless, volatility at the top creates an extra dose of uncertainty around near-term execution in the GTM engine at such a crucial moment in time in their evolution to multi-product, and is ultimately one of the bigger risks to stomach.

Snowflake guided to \$4,250M 2025E product revenue for 24% growth as a starting place, which compares to 22% initial 2024 guide that ultimately landed at 30% actual growth performance for the year (averaging 4% quarterly beats). While in 2024 Q4 earnings management signaled guidance philosophy to aim for 3% beats versus 3-5% beats, that still leaves plenty of room for the year to actually land at 27%+ against the sandbagged beat-and-raise motion each quarter. As the foundation of base case underwriting, illustrative math below contemplates SNOW CAGR of 24% from a 28% product revenue growth starting place in 2024 Q4 and 126% net revenue retention support.

II. Upside Opportunity in Emerging "AI" Products: The public shareholder base knew from the IPO that Snowflake would be Sloatman's last tour of duty, and while he was the right leader for scaling the go-to-market motion around the original innovation, Snowflake was clearly focused most on incremental performance optimizations versus building further ahead down the roadmap. In only a year of execution since Sloatman's departure, Ramaswamy has restarted the innovation engine to ship an entire suite of new products on top of the Snowflake platform (Iceberg format for data lake, Snowpark processing engine now mature at 3% of revenue, container services app deployments, Polaris open-source data catalogue, managed service for foundation models, Arctic family of foundation models, natural language analysis tools for line of business users, recent partnership with Microsoft to integrate with Azure OpenAI Service, etc). The majority of new products remain nascent but are starting to gain given disclosure that 4k+ customers use at least one new AI/ ML product, up 25% last quarter. Management indicated that new AI / ML capabilities will "meaningfully contribute" to revenue in 2025 H2. Snowflake has long referenced "data gravity" as a competitive advantage that intensifies with scale, making deployments sticky foundations for AI applications on top instead of customers ripping out the data and paying to load / transform it again elsewhere. The upside outcome here will be a test of if their customers will actually prefer "bringing the applications to the data versus the data to the applications". Management sounds confident that adoption may even reaccelerate the growth profile ("We expect new product features to contribute step-up in year-over-year growth rates in the second half of the year"). The customer testimonials are adding up around use cases in production, but sample not yet sufficiently large to count on durability there. While the current pace of market share gains in a core market growing at a 20% CAGR offers growth tailwinds to support a base case, any upside opportunity as contemplated in the scenario below likely requires significant adoption of new products at a time when market risk appetite is in "show me" mode.

III. 20%+ Base Case 5Y IRR: In short, underwriting to 24% CAGR and FCF margins reaching 30% with 1% annual dilution via SBC

achieves a 21% 5Y IRR at 35x NTM FCF in 2029.

Before diving into cases, worth acknowledging that after a few quarters of operating leverage nudging in the right direction, SNOW backtracked on that front over the last two quarters (both on QoQ and YoY basis); progress bringing S&M down continued to 44% (down 3 points YoY), but product GM fell 3 points YoY to 71% and R&D intensity spiked to 50% (up 3 points YoY)... management explains this as incremental investments in new products consistent with recent shipping velocity versus anything more pernicious (eg, pricing pressure or eng costs rising in aggregate), but it does highlight the risk that Snowflake has not yet demonstrated a smooth path towards a sub-60% OpEx profile of mature software businesses with healthy net retention. Economies of scale in the business model tend to allow this level of operating leverage over time (eg, NOW at 35% S&M, 23% R&D, 7% G&A, 32% FCF margin trading at 37x NTM FCF with 21% MRQ growth), but given Snowflake is scaling into a new product cycle, we may not see a smooth path in that direction. This introduces risk that the public shareholder base loses patience on expecting an attractive FCF profile to translate into similar operating margins eventually (NOW at 26% net margin, certainly different cost structure behind that product, but useful comp for OpEx benchmarking at scale).

Historical Quarterly Financials

	2021				2022				2023				2024			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
\$M	04/21	07/21	10/21	01/22	04/22	07/22	10/22	01/23	04/23	07/23	10/23	01/24	04/24	07/24	10/24	01/25
Product Revenue	\$ 214	\$ 255	\$ 312	\$ 360	\$ 394	\$ 466	\$ 523	\$ 555	\$ 590	\$ 640	\$ 698	\$ 738	\$ 790	\$ 829	\$ 900	\$ 943
Growth YoY	110.0%	103.3%	110.4%	101.7%	84.6%	83.1%	67.3%	54.4%	49.6%	37.3%	33.6%	32.9%	33.8%	29.5%	28.9%	27.8%
+ Net New	\$ 36	\$ 41	\$ 58	\$ 47	\$ 35	\$ 72	\$ 56	\$ 33	\$ 35	\$ 50	\$ 58	\$ 40	\$ 51	\$ 40	\$ 71	\$ 43
+ New/Net	\$ 6	\$ 5	\$ 5	\$ 17	\$ 111	\$ 37	\$ 5	\$ 5	\$ 8	\$ 150	\$ 12	\$ 12	\$ 12	\$ 12	\$ 11	\$ 120
Total Net Retention	168%	169%	173%	178%	171%	165%	153%	151%	142%	136%	131%	128%	127%	127%	127%	126%
Implied Net Expansion	\$ 212	\$ 261	\$ 334	\$ 432	\$ 493	\$ 565	\$ 623	\$ 661	\$ 674	\$ 644	\$ 610	\$ 601	\$ 596	\$ 623	\$ 671	\$ 693
Implied Customer New	\$ 143	\$ 155	\$ 167	\$ 155	\$ 163	\$ 173	\$ 160	\$ 137	\$ 140	\$ 132	\$ 131	\$ 127	\$ 134	\$ 124	\$ 102	\$ 102
Professional Services	\$ 15	\$ 18	\$ 22	\$ 24	\$ 28	\$ 31	\$ 34	\$ 34	\$ 34	\$ 34	\$ 36	\$ 37	\$ 39	\$ 40	\$ 42	\$ 43
Growth YoY	115.0%	121.7%	97.1%	96.9%	88.2%	76.3%	65.9%	39.1%	20.0%	9.1%	4.1%	8.7%	16.7%	17.0%	17.1%	18.7%
% of Sales	6.0%	6.5%	6.6%	6.3%	6.6%	6.2%	6.2%	5.7%	5.4%	5.0%	4.9%	4.7%	4.7%	4.6%	4.4%	4.4%
Revenue	\$ 229	\$ 272	\$ 334	\$ 384	\$ 422	\$ 497	\$ 557	\$ 589	\$ 624	\$ 674	\$ 734	\$ 775	\$ 829	\$ 869	\$ 942	\$ 987
Growth YoY	110.4%	104.4%	109.5%	101.5%	84.5%	82.7%	66.6%	53.5%	47.6%	35.5%	31.8%	31.5%	32.9%	28.9%	28.3%	27.4%
Product Gross Product	\$ 142	\$ 174	\$ 220	\$ 257	\$ 283	\$ 335	\$ 377	\$ 397	\$ 431	\$ 471	\$ 518	\$ 545	\$ 570	\$ 594	\$ 637	\$ 670
Product Gross Margin	66.3%	68.2%	70.5%	71.5%	71.8%	71.8%	72.1%	71.4%	73.0%	73.6%	74.2%	73.9%	72.2%	71.6%	70.7%	71.0%
Incremental Margin	76.5%	78.0%	80.6%	78.5%	74.2%	71.9%	74.0%	61.1%	67.0%	60.7%	61.7%	61.7%	47.8%	59.8%	60.5%	77.7%
COGS Adj. (SBC + Amort.)	\$ 13	\$ 14	\$ 13	\$ 12	\$ 14	\$ 16	\$ 17	\$ 20	\$ 23	\$ 28	\$ 29	\$ 31	\$ 37	\$ 40	\$ 50	\$ 45
% of Product Revenue	6.0%	5.4%	4.2%	3.3%	3.5%	3.4%	3.3%	3.5%	4.0%	4.3%	4.1%	4.2%	4.7%	4.8%	5.6%	4.8%
Non-GAAP Product Gross Profit	\$ 154	\$ 187	\$ 233	\$ 270	\$ 297	\$ 350	\$ 394	\$ 416	\$ 454	\$ 499	\$ 547	\$ 576	\$ 607	\$ 634	\$ 687	\$ 715
Non-GAAP Product Gross Margin	72.2%	73.6%	74.6%	73.0%	73.2%	73.1%	75.4%	73.0%	77.0%	77.9%	78.3%	78.0%	78.9%	76.4%	76.3%	75.8%
Services Gross Profit	\$ (10)	\$ (7)	\$ (7)	\$ (5)	\$ (9)	\$ (11)	\$ (13)	\$ (13)	\$ (17)	\$ (19)	\$ (13)	\$ (12)	\$ (14)	\$ (13)	\$ (15)	\$ (17)
Services Gross Margin	(67.5%)	(42.7%)	(29.6%)	(31.2%)	(30.7%)	(34.4%)	(30.7%)	(39.7%)	(49.2%)	(46.0%)	(37.1%)	(33.9%)	(35.1%)	(32.7%)	(37.0%)	(38.0%)
Gross Profit	\$ 132	\$ 166	\$ 214	\$ 254	\$ 274	\$ 324	\$ 366	\$ 383	\$ 414	\$ 456	\$ 505	\$ 533	\$ 566	\$ 581	\$ 621	\$ 654
Gross Margin	57.5%	61.0%	63.9%	65.0%	65.0%	65.2%	65.8%	65.1%	66.4%	67.6%	68.8%	68.8%	67.1%	66.8%	65.9%	66.2%
Sales & Marketing	\$ 167	\$ 183	\$ 191	\$ 203	\$ 244	\$ 275	\$ 284	\$ 303	\$ 332	\$ 343	\$ 355	\$ 362	\$ 401	\$ 401	\$ 438	\$ 433
S&M % of Sales	72.9%	67.2%	57.1%	53.0%	57.7%	55.2%	51.1%	51.5%	53.2%	50.9%	48.4%	46.7%	48.4%	46.1%	46.5%	43.8%
Research & Development	\$ 110	\$ 116	\$ 118	\$ 123	\$ 151	\$ 164	\$ 151	\$ 211	\$ 242	\$ 277	\$ 314	\$ 322	\$ 364	\$ 411	\$ 438	\$ 492
R&D % of Sales	48.0%	43.4%	34.7%	32.1%	35.7%	37.0%	37.9%	41.1%	44.5%	46.6%	43.2%	47.0%	49.6%	50.4%	47.0%	49.9%
General & Administrative	\$ 61	\$ 65	\$ 64	\$ 75	\$ 68	\$ 73	\$ 76	\$ 78	\$ 84	\$ 79	\$ 82	\$ 93	\$ 98	\$ 93	\$ 106	\$ 115
G&A % of Sales	26.2%	24.0%	19.2%	19.6%	16.2%	14.8%	13.7%	13.2%	12.6%	12.4%	10.7%	10.6%	11.2%	11.3%	11.3%	11.7%
Operating Income	\$ (206)	\$ (200)	\$ (157)	\$ (152)	\$ (189)	\$ (206)	\$ (206)	\$ (273)	\$ (285)	\$ (261)	\$ (276)	\$ (349)	\$ (359)	\$ (359)	\$ (387)	\$ (387)
Operating Margin	(89.6%)	(73.5%)	(47.0%)	(39.6%)	(44.7%)	(41.8%)	(37.0%)	(40.7%)	(43.6%)	(42.3%)	(35.5%)	(35.6%)	(42.1%)	(40.9%)	(38.6%)	(39.2%)
Stock-Based Compensation	\$ 151	\$ 164	\$ 144	\$ 146	\$ 172	\$ 209	\$ 229	\$ 251	\$ 265	\$ 300	\$ 290	\$ 305	\$ 332	\$ 356	\$ 363	\$ 428
SBC % of Sales	66.0%	60.2%	43.2%	38.0%	40.8%	42.1%	41.1%	42.6%	42.4%	44.5%	40.6%	39.4%	40.1%	41.0%	38.6%	43.4%
Non-GAAP Operating Margin	(23.6%)	(13.3%)	(3.9%)	(1.6%)	(3.9%)	0.3%	-2.2%	1.9%	(1.4%)	2.1%	5.1%	3.9%	(2.0%)	0.1%	(0.2%)	4.2%
Operating Cash Flow	\$ 22	\$ (6)	\$ 16	\$ 79	\$ 105	\$ 64	\$ 79	\$ 217	\$ 299	\$ 83	\$ 121	\$ 345	\$ 355	\$ 70	\$ 102	\$ 433
OCF % of Sales	9.5%	(2.2%)	4.6%	20.6%	43.1%	13.0%	14.2%	36.9%	49.0%	12.3%	16.5%	44.5%	42.9%	8.0%	10.8%	43.9%
Capital Expenditure	\$ 9	\$ 8	\$ 11	\$ 12	\$ 15	\$ 14	\$ 12	\$ 16	\$ 14	\$ 19	\$ 24	\$ 24	\$ 11	\$ 23	\$ 17	\$ 17
CapEx % of Sales	3.9%	2.1%	1.8%	2.1%	2.9%	2.1%	2.6%	2.0%	2.6%	2.1%	2.5%	2.6%	2.9%	1.3%	2.5%	1.8%
Free Cash Flow	\$ 13	\$ (12)	\$ 5	\$ 71	\$ 172	\$ 54	\$ 65	\$ 205	\$ 283	\$ 69	\$ 102	\$ 324	\$ 332	\$ 59	\$ 78	\$ 415
FCF Margin	5.7%	(4.4%)	2.8%	18.4%	40.8%	10.8%	11.7%	34.8%	45.4%	10.2%	13.9%	41.9%	40.0%	6.8%	8.2%	42.1%
Diluted Shares Outstanding	291.4	299.7	303.0	308.7	314.4	316.4	359.9	359.5	360.3	361.7	363.8	363.3	359.3	362.2	370.7	
Share Creep	2.2%	1.8%	1.9%	1.6%	1.3%	1.3%	13.0%	(0.1%)	0.2%	0.8%	(0.4%)	0.6%	(0.1%)	(1.1%)	0.6%	2.4%

Base Case Forecast

S&Ms	Historical										Forecast							
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030					
	01/19	01/20	01/21	01/22	01/23	01/24	01/25	01/26	01/27	01/28	01/29	01/30	01/31					
Product Revenue	\$ 96	\$ 252	\$ 554	\$ 1,140	\$ 1,939	\$ 2,967	\$ 3,482	\$ 4,398	\$ 5,504	\$ 6,909	\$ 8,365	\$ 10,195	\$ 12,328					
Growth YoY		163.5%	118.6%	105.9%	70.0%	37.6%	29.8%	27.0%	25.1%	23.7%	22.8%	21.9%	20.8%					
+ Net New	\$ 157	\$ 302	\$ 587	\$ 798	\$ 728	\$ 798	\$ 930	\$ 930	\$ 1,100	\$ 1,500	\$ 1,500	\$ 1,831	\$ 2,131					
+ New/Net	\$ 6	\$ 145	\$ 285	\$ 212	\$ (70)	\$ (8)	\$ (40)	\$ (170)	\$ (200)	\$ (200)	\$ (200)	\$ (275)	\$ (300)					
Total Net Retention	189%	169%	168%	178%	158%	131%	126%	120%	124%	123%	122%	121%	120%					
Implied Net Expansion	\$ 96	\$ 172	\$ 432	\$ 661	\$ 801	\$ 893	\$ 893	\$ 1,090	\$ 1,290	\$ 1,290	\$ 1,498	\$ 1,757	\$ 2,039					
Implied Customer New	\$ 91	\$ 130	\$ 155	\$ 137	\$ 127	\$ 102	\$ 70	\$ 80	\$ 40	\$ 40	\$ 58	\$ 74	\$ 92					
Professional Services	\$ 1	\$ 13	\$ 38	\$ 79	\$ 127	\$ 140	\$ 164	\$ 208	\$ 261	\$ 322	\$ 396	\$ 483	\$ 584					
Growth YoY		1173.6%	205.6%	106.1%	60.9%	10.1%	17.4%	27.0%	25.1%	23.7%	22.8%	21.9%	20.9%					
% of Sales	1.0%	4.7%	6.9%	6.9%	6.1%	5.0%	4.5%	4.5%	4.5%	4.5%	4.5%	4.5%	4.5%					
Revenue	\$ 97	\$ 265	\$ 592	\$ 1,219	\$ 2,066	\$ 2,866	\$ 3,626	\$ 4,606	\$ 5,764	\$ 7,132	\$ 8,761	\$ 10,678	\$ 12,910					
Growth YoY		173.3%	123.6%	106.0%	69.4%	35.9%	29.2%	27.0%	25.1%	23.7%	22.8%	21.9%	20.9%					
Product Gross Product	\$ 64	\$ 156	\$ 360	\$ 793	\$ 1,391	\$ 1,966	\$ 2,470	\$ 3,160	\$ 3,982	\$ 4,960	\$ 6,135	\$ 7,529	\$ 9,164					
Product Gross Margin	56.5%	61.7%	65.0%	69.9%	71.9%	72.3%	71.9%	71.9%	72.9%	73.0%	72.9%	72.9%	74.2%					
Incremental Margin	64.0%	67.0%	72.0%	73.0%	75.0%	75.0%	75.0%	73.7%	74.3%	75.0%	75.0%	76.1%	76.7%					
COGS Adj. (SBC + Amort.)	\$ 1	\$ 3	\$ 20	\$ 52	\$ 65	\$ 110	\$ 173	\$ 209	\$ 247	\$ 289	\$ 334	\$ 382	\$ 431					
% of Product Revenue	1.0%	1.1%	3.7%	4.6%	3.4%	4.1%	5.0%	4.7%	4.5%	4.2%	4.0%	3.7%	3.3%					
Non-GAAP Product Gross Profit	\$ 65	\$ 158	\$ 360	\$ 845	\$ 1,454	\$ 2,079	\$ 2,643	\$ 3,389	\$ 4,229	\$ 5,248	\$ 6,469	\$ 7,911	\$ 9,585					
Non-GAAP Product Gross Margin	57.6%	62.8%	68.7%	74.1%	75.2%	77.7%	76.3%	76.6%	76.8%	77.1%	77.3%	77.6%	77.8%					
Services Gross Profit	\$ (9)	\$ (7)	\$ (10)	\$ (32)	\$ (43)	\$ (58)	\$ (59)	\$ (59)	\$ (51)	\$ (38)	\$ (15)	\$ -	\$ -					
Services Gross Margin	(93.4%)	(59.2%)	(27.4%)	(26.3%)	(24.0%)	(24.1%)	(25.8%)	(27.8%)	(19.8%)	(11.8%)	(3.0%)	0.0%	0.0%					
Gross Profit	\$ 45	\$ 148	\$ 349	\$ 761	\$ 1,348	\$ 1,908	\$ 2,412	\$ 3,102	\$ 3,930	\$ 4,922	\$ 6,120	\$ 7,529	\$ 9,164					
Gross Margin	46.5%	56.0%	59.0%	62.4%	65.3%	66.9%	66.3%	67.3%	68.2%	69.0%	69.9%	70.5%	71.0%					
Sales & Marketing	\$ 120	\$ 294	\$ 479	\$ 744	\$ 1,107	\$ 1,392	\$ 1,872	\$ 2,009	\$ 2,370	\$ 2,753	\$ 3,163	\$ 3,589	\$ 3,873					
S&M % of Sales	130.0%	110.9%	81.0%	61.0%	53.6%	49.6%	46.1%	43.6%	41.1%	38.6%	36.1%	33.6%	30.0%					
Research & Development	\$ 69	\$ 105	\$ 237	\$ 408	\$ 788	\$ 1,288	\$ 1,783	\$ 2,035	\$ 2,258	\$ 2,509	\$ 2,731	\$ 2,902	\$ 2,992					
R&D % of Sales	71.0%	39.7%	40.3%	39.3%	38.2%	45.9%	49.2%	48.2%	39.2%	38.2%	31.2%	27.2%	23.2%					
General & Administrative	\$ 30	\$ 108	\$ 170	\$ 205	\$ 290	\$ 323	\$ 412	\$ 501	\$ 598	\$ 704	\$ 821	\$ 947	\$ 1,080					
G&A % of Sales	37.3%	40.8%	29.8%	2.0%	14.2%	14.2%	10.0%	10.0%	8.9%	8.9%	8.9%	8.9%	8.9%					
Operating Income	\$ (189)	\$ (308)	\$ (544)	\$ (719)	\$ (842)	\$ (1,095)	\$ (1,456)	\$ (1,442)	\$ (1,290)	\$ (1,044)	\$ (590)	\$ 91	\$ 1,219					
Operating Margin	(191.9%)	(125.3%)	(91.5%)	(68.6%)	(40.8%)	(38.0%)	(49.2%)	(39.2%)	(22.5%)	(14.6%)	(6.8%)	0.9%	9.4%					
Stock-Based Compensation	\$ 32	\$ 33	\$ 33	\$ 33	\$ 33	\$ 33	\$ 156	\$ 156	\$ 156	\$ 156	\$ 212	\$ 212	\$ 212					
SBC % of Sales	23.2%	29.6%	50.9%	49.6%	41.7%	41.6%	40.8%	36.8%	32.8%	26.8%	24.0%	20.9%	16.9%					
Non-GAAP Operating Margin	(168.7%)	(105.0%)	(41.6%)	(30.0%)	0.9%	2.6%	0.6%	5.5%	10.3%	14.0%	18.0%	21.6%	26.2%					
Operating Cash Flow	\$ (144)	\$ (177)	\$ (45)	\$ 110	\$ 540	\$ 848	\$ 900	\$ 1,205	\$ 1,641	\$ 2,101	\$ 2,069	\$ 3,300	\$ 4,142					
OCF % of Sales	(148.9%)	(66.7%)	(7.7%)	9.0%	26.4%	30.2%	26.5%	27.5%	28.6%	29.5%	30.5%	31.9%	32.1%					
Capital Expenditures	\$ 4	\$ 12	\$ 23	\$ 29	\$ 49	\$ 49	\$ 70	\$ 120	\$ 140	\$ 160	\$ 183	\$ 210	\$ 210					
CapEx % of Sales	4.2%	8.8%	6.8%	2.4%	2.4%	2.5%	2.1%	1.1%	2.1%	2.1%	2.1%	2.1%	2.1%					
Free Cash Flow	\$ (428)	\$ (199)	\$ (68)	\$ 81	\$ 496	\$ 779	\$ 834	\$ 1,189	\$ 1,500	\$ 1,953	\$ 2,486	\$ 3,137	\$ 3,873					
FCF Margin	(173.1%)	(75.2%)	(14.5%)	6.7%	24.4%	27.6%	27.6%	24.4%	26.4%	27.4%	28.4%	29.4%	30.4%					
Diluted Shares Outstanding					369.5	363.8	370.7	379.0	377.3	380.7	384.1	387.6	390.0					
Share 0.0%					1.2%	1.9%	1.9%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%					

stock price embedded in their compensation... the same way a portion of them, particularly the most expensive talent, valued the packages at lower rates than running Black-Scholes on options packages would suggest, the resulting GAAP accounting also inflates the gross dollar line items running through financial statements. Again, SBC certainly reflects a real cost that will fluctuate per FTE across cycles, but this methodology allows us to account for the cash generation power of the business, then accept that shareholders will lose their claim on a growing portion of it over time. I'm all ears if this is unconvincing.

SBC-Burdened Exit Multiple

Terminal Multiple Dilution Calibration						
Methodology: Burden terminal multiple with implied annual dilution via adjusted compound rate, assuming no buybacks.						
$M = 1 / (r - g + d + g \cdot d)$			Annual Dilution			
g = growth rate			Growth Rate			
r = discount rate			Compound Rate			
d = annual dilution			Discount Rate			
			Terminal Multiple			
Annual Dilution	0.8%					
Growth Rate	4.0%	5.0%	6.0%	7.0%	8.0%	9.0%
Compound Rate	3.2%	4.2%	5.2%	6.2%	7.1%	8.1%
Discount Rate						
8.0%	20.7x	26.1x	35.2x	54.1x	116.7x	
9.0%	17.2x	20.7x	26.0x	35.1x	53.8x	115.6x
10.0%	14.7x	17.1x	20.7x	26.0x	35.0x	53.6x
11.0%	12.8x	14.6x	17.1x	20.6x	25.9x	34.9x
12.0%	11.3x	12.8x	14.6x	17.1x	20.6x	25.9x

Translating all of this into a returns profile, SNOW at \$148 finally appears attractive for potential 20%+ base case returns (24% CAGR into 30% FCF margins, 35x NTM FCF), an upside opportunity even higher (27% CAGR via sustained new product adoption, upside 35% FCF margins, 40x NTM FCF), and downside case that unlikely touches impairment over a multi-year horizon (even after assuming growth collapses to 10% and FCF margins to 20%, 30x NTM FCF). As for today, downward pressure via market degrossing and increasingly concerning tariff retaliations towards a potential trade war makes stepping into almost anything right now feel like trying to catch a falling knife... SNOW is no different and arguably on the more treacherous side of things given high-beta during a potential flight to safety. That said, I find their prospects over the long-run compelling and may just have to stomach some extra pain in the near-term.

Illustrative Returns Profile

Historical Financials					Valuation Multiples		
\$Ms	2021	2022	2023	2024	xNTM	Consensus	Base Case
Revenue	\$ 1,219	\$ 2,066	\$ 2,806	\$ 3,626	Revenue	10.9x	10.7x
Growth	106%	69%	36%	29%	G-Adj.	0.46x	0.39x
FCF	\$ 81	\$ 496	\$ 779	\$ 884	FCF	44.6x	42.0x
Margin	7%	24%	28%	24%	G-Adj.	1.88x	1.55x

Scenario Execution Cases								
		2025	2026	2027	2028	2029	2030	CAGR
Downside Case	Revenue	\$ 4,497	\$ 5,396	\$ 6,313	\$ 7,197	\$ 8,061	\$ 8,867	18%
	Growth	24%	20%	17%	14%	12%	10%	
	FCF	\$ 1,051	\$ 1,208	\$ 1,350	\$ 1,467	\$ 1,612	\$ 1,773	12%
	Margin	23%	22%	21%	20%	20%	20%	
Base Case	Revenue	\$ 4,606	\$ 5,764	\$ 7,132	\$ 8,761	\$ 10,678	\$ 12,910	24%
	Growth	27%	25%	24%	23%	22%	21%	
	FCF	\$ 1,169	\$ 1,520	\$ 1,953	\$ 2,486	\$ 3,137	\$ 3,873	26%
	Margin	25%	26%	27%	28%	29%	30%	
Upside Case	Revenue	\$ 4,650	\$ 5,938	\$ 7,554	\$ 9,572	\$ 12,082	\$ 15,188	27%
	Growth	28%	28%	27%	27%	26%	26%	
	FCF	\$ 1,395	\$ 1,900	\$ 2,531	\$ 3,255	\$ 4,229	\$ 5,316	32%
	Margin	30%	32%	34%	34%	35%	35%	

Current EV							
\$ 49,059							
Returns Profile – 5Y Hold Through 2028							
\$Ms	EV	NTM Rev	NTM FCF	Price	MOIC	IRR	
Downside	\$ 53,202	6.0x	30.0x	\$ 161.99	1.1x	1.9%	
Base	\$ 135,551	10.5x	35.0x	\$ 383.04	2.6x	21.0%	
Upside	\$ 212,639	14.0x	40.0x	\$ 589.80	4.0x	31.9%	

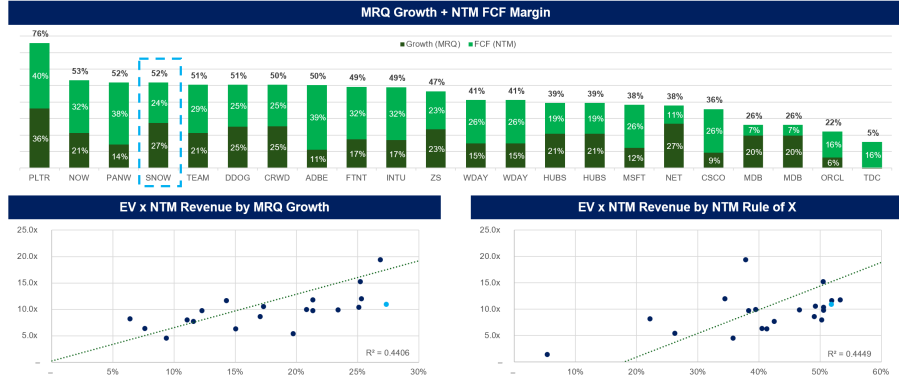
Required Entry Prices						
Exit	@ 35.0x NTM FCF			@ 40.0x NTM FCF		
IRR	Downside	Base	Upside	Downside	Base	Upside
15%	\$92.01	\$190.44	\$258.83	\$103.49	\$215.50	\$293.23
20%	\$74.38	\$153.93	\$209.22	\$83.65	\$174.19	\$237.03
25%	\$60.64	\$125.51	\$170.59	\$68.21	\$142.03	\$193.27

Valuation Sensitivities						
	Revenue	\$ 10,828	\$ 12,254	\$ 13,834	\$ 15,579	\$ 17,504
	CAGR	20.0%	22.5%	25.0%	27.5%	30.0%
FCF Margin	25.0%	\$ 2,707	\$ 3,064	\$ 3,458	\$ 3,895	\$ 4,376
	27.5%	\$ 2,978	\$ 3,370	\$ 3,804	\$ 4,284	\$ 4,814
	30.0%	\$ 3,249	\$ 3,676	\$ 4,150	\$ 4,674	\$ 5,251
	32.5%	\$ 3,519	\$ 3,983	\$ 4,496	\$ 5,063	\$ 5,689
	35.0%	\$ 3,790	\$ 4,289	\$ 4,842	\$ 5,453	\$ 6,126
	PPS / IRR	\$ 2,707	\$ 3,370	\$ 4,150	\$ 5,063	\$ 6,126
FCF xNTM	30.0x	\$232 / 10%	\$285 / 14%	\$347 / 19%	\$419 / 23%	\$502 / 28%
	32.5x	\$252 / 11%	\$308 / 16%	\$375 / 21%	\$453 / 25%	\$544 / 30%
	35.0x	\$271 / 13%	\$332 / 18%	\$404 / 17%	\$488 / 27%	\$586 / 32%
	37.5x	\$290 / 14%	\$355 / 19%	\$432 / 24%	\$522 / 29%	\$627 / 34%
	40.0x	\$309 / 16%	\$379 / 21%	\$461 / 26%	\$557 / 30%	\$669 / 35%

Public Comparables – Large Cap Software

Company	Share Price	Enterprise Value	Market Cap	% 52W High	Revenue LTM	Growth MRQ	Growth NTM	Gross Margin	OpEx % of Sales	Net Margin	FCF Margin	Enterprise Value x NTM				Growth Adj. EV-NTM					
									SG&A	R&D	G&A										
Microsoft	\$ 380.16	\$ 2,857,457	\$ 2,825,103	81%	\$ 261,802	12%	12%	69%	10%	12%	3%	35%	26%	9.7x	14.0x	37.5x	27.4x	0.81x	1.17x	3.11x	2.28x
Oracle	\$ 148.79	\$ 513,901	\$ 421,144	75%	\$ 55,783	6%	13%	71%	15%	17%	3%	30%	12%	8.2x	11.5x	67.1x	22.6x	0.64x	0.90x	—	1.78x
Salesforce	\$ 272.90	\$ 200,938	\$ 202,900	74%	\$ 37,895	8%	8%	80%	35%	14%	7%	27%	33%	6.4x	8.0x	19.4x	24.0x	0.81x	1.02x	2.47x	3.06x
Cisco	\$ 62.00	\$ 201,071	\$ 246,893	93%	\$ 54,170	9%	7%	65%	20%	16%	5%	26%	26%	4.5x	6.9x	17.1x	16.2x	0.65x	1.01x	2.48x	2.35x
Palantir	\$ 70.38	\$ 186,320	\$ 197,220	61%	\$ 2,800	36%	32%	62%	31%	19%	21%	38%	40%	42.0x	59.8x	—	—	1.53x	1.66x	—	—
Arista	\$ 435.00	\$ 187,380	\$ 189,215	74%	\$ 21,935	11%	9%	80%	27%	18%	7%	38%	39%	8.0x	9.9x	20.3x	21.3x	0.96x	0.96x	2.19x	2.29x
ServiceNow	\$ 793.83	\$ 154,030	\$ 161,625	66%	\$ 10,984	21%	19%	81%	35%	23%	7%	26%	32%	11.8x	14.6x	37.0x	46.8x	0.63x	0.78x	1.97x	2.49x
Intuit	\$ 579.78	\$ 166,665	\$ 162,222	81%	\$ 17,167	17%	12%	80%	27%	16%	9%	30%	32%	8.6x	10.8x	27.0x	28.1x	0.70x	0.88x	2.19x	2.27x
Palo Alto Networks	\$ 173.83	\$ 114,167	\$ 110,430	83%	\$ 8,571	14%	15%	74%	34%	23%	4%	25%	38%	11.6x	15.7x	30.8x	48.1x	0.80x	1.06x	2.13x	3.31x
CrowdStrike	\$ 308.86	\$ 72,980	\$ 70,475	68%	\$ 3,954	25%	21%	78%	38%	27%	11%	18%	25%	15.2x	19.5x	61.5x	86.8x	0.72x	0.93x	2.91x	—
Fortinet	\$ 96.04	\$ 71,367	\$ 74,300	84%	\$ 5,950	17%	14%	80%	34%	12%	4%	29%	32%	10.5x	13.1x	33.0x	38.4x	0.77x	0.96x	2.40x	2.80x
Workday	\$ 243.00	\$ 60,004	\$ 64,659	83%	\$ 8,440	15%	13%	80%	29%	31%	10%	24%	26%	6.3x	7.9x	24.0x	27.9x	0.90x	0.63x	1.88x	2.20x
Alibaba	\$ 215.89	\$ 60,339	\$ 60,603	60%	\$ 4,790	21%	18%	83%	21%	51%	13%	18%	29%	9.8x	11.8x	33.4x	56.6x	0.54x	0.65x	1.83x	3.05x
Snowflake	\$ 147.90	\$ 49,059	\$ 51,601	72%	\$ 3,628	27%	24%	72%	45%	11%	10%	24%	10.3x	15.1x	44.6x	—	0.49x	0.64x	1.88x	—	
Azure	\$ 240.40	\$ 53,310	\$ 52,909	70%	\$ 8,131	12%	13%	82%	32%	24%	10%	31%	7.7x	8.4x	24.8x	25.6x	0.58x	0.64x	1.88x	1.96x	
Cloudflare	\$ 118.81	\$ 40,814	\$ 41,007	68%	\$ 1,870	27%	28%	78%	44%	25%	17%	14%	11%	19.4x	24.9x	—	—	0.78x	0.97x	—	—
Datadog	\$ 101.65	\$ 33,234	\$ 35,551	60%	\$ 2,684	25%	19%	81%	28%	42%	7%	20%	25%	10.4x	12.7x	40.8x	56.3x	0.54x	0.66x	2.12x	2.95x
HubSpot	\$ 588.55	\$ 29,868	\$ 31,152	67%	\$ 2,628	21%	14%	86%	46%	30%	11%	17%	19%	10.0x	11.6x	53.3x	62.8x	0.70x	0.82x	3.77x	—
Sales	\$ 194.09	\$ 28,867	\$ 30,509	69%	\$ 2,422	23%	20%	78%	48%	24%	9%	19%	23%	10.0x	12.8x	43.0x	56.6x	0.51x	0.65x	2.19x	2.88x
Samsara	\$ 34.00	\$ 18,379	\$ 19,270	55%	\$ 1,249	25%	23%	77%	48%	24%	19%	13%	9%	12.0x	15.5x	—	98.9x	0.53x	0.68x	—	—
MongoDB	\$ 180.32	\$ 12,350	\$ 14,617	47%	\$ 2,000	20%	14%	75%	43%	30%	11%	10%	7%	5.4x	7.2x	83.0x	62.4x	0.40x	0.53x	—	—
Teradata	\$ 22.52	\$ 2,280	\$ 2,130	57%	\$ 1,750	(11%)	(7%)	61%	—	16%	—	13%	16%	1.4x	2.3x	8.8x	9.9x	—	—	—	—
75th Percentile	\$ 299.87	\$ 181,400	\$ 182,467	81%	\$ 15,621	25%	20%	81%	42%	29%	11%	29%	32%	11.5x	15.0x	43.8x	66.8x	0.77x	0.97x	2.47x	2.93x
Mean	\$ 245.86	\$ 237,739	\$ 233,123	72%	\$ 23,548	17%	19%	78%	31%	25%	9%	23%	25%	11.2x	14.2x	37.2x	43.0x	0.69x	0.88x	2.34x	2.95x
Median	\$ 187.51	\$ 65,686	\$ 69,510	74%	\$ 5,375	19%	14%	79%	33%	23%	9%	25%	26%	9.9x	12.3x	33.4x	38.4x	0.65x	0.88x	2.18x	2.42x
25th Percentile	\$ 105.39	\$ 35,079	\$ 35,938	66%	\$ 2,642	12%	12%	74%	27%	17%	5%	17%	20%	7.8x	8.5x	24.4x	24.8x	0.54x	0.65x	1.95x	2.27x

Valuation Grids - Large Cap Software



I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Upside: 1) Quarterly performance revealing durability in core business and new CRO settling in + 2) disclosure on new products during June 2025 company conference / investor day + 3) seeing new products “meaningfully contribute” to growth acceleration in 2025 H2.

Downside: 1) Macroeconomic environment severely impacting software budgets in the near-term, especially on consumption-based enterprise infrastructure + 2) product announcements by Databricks moving the needle on market perception + 3) failure to find a strong CFO successor within the next year.

Messages

Subject	update?
Entry	06/11/2025 06:35 AM
Member	differentiatedfractal31415
Great to read your software writeups here- any updated views on SNOW/Sridhar R's leadership/product focus? thx	